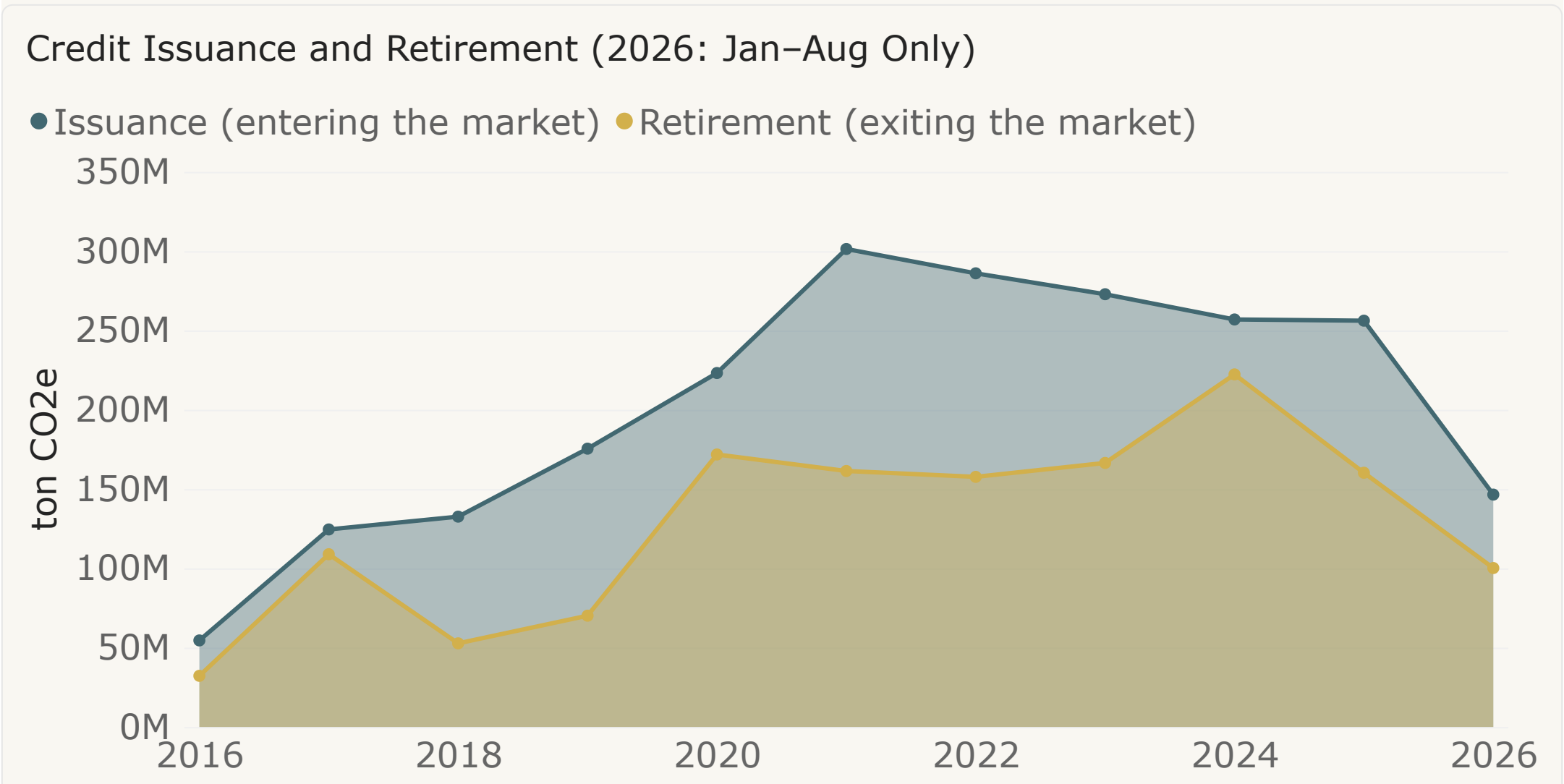
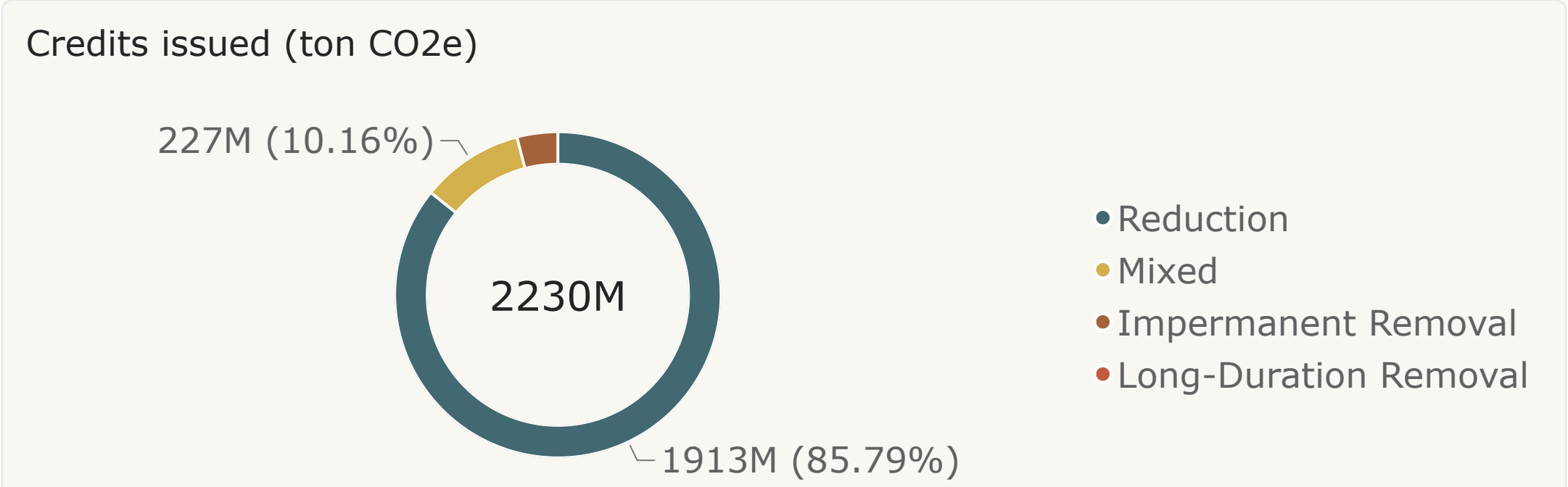
Overall trend of the voluntary carbon market



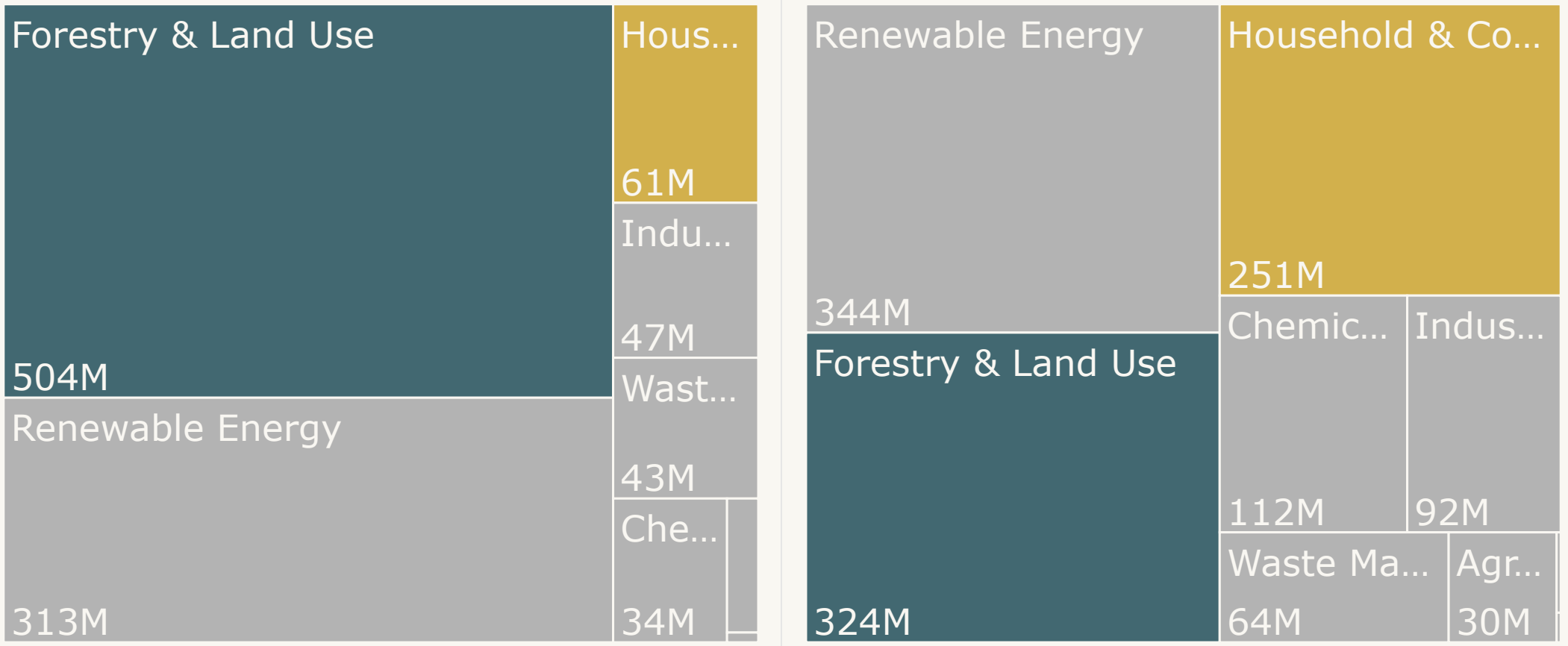


- **2021 marked the end of rapid growth** in credit issuance.
- Credit issuance exceeds retirement, creating **a growing inventory of unretired credits.**
- **Emission reduction credits dominate** over removal

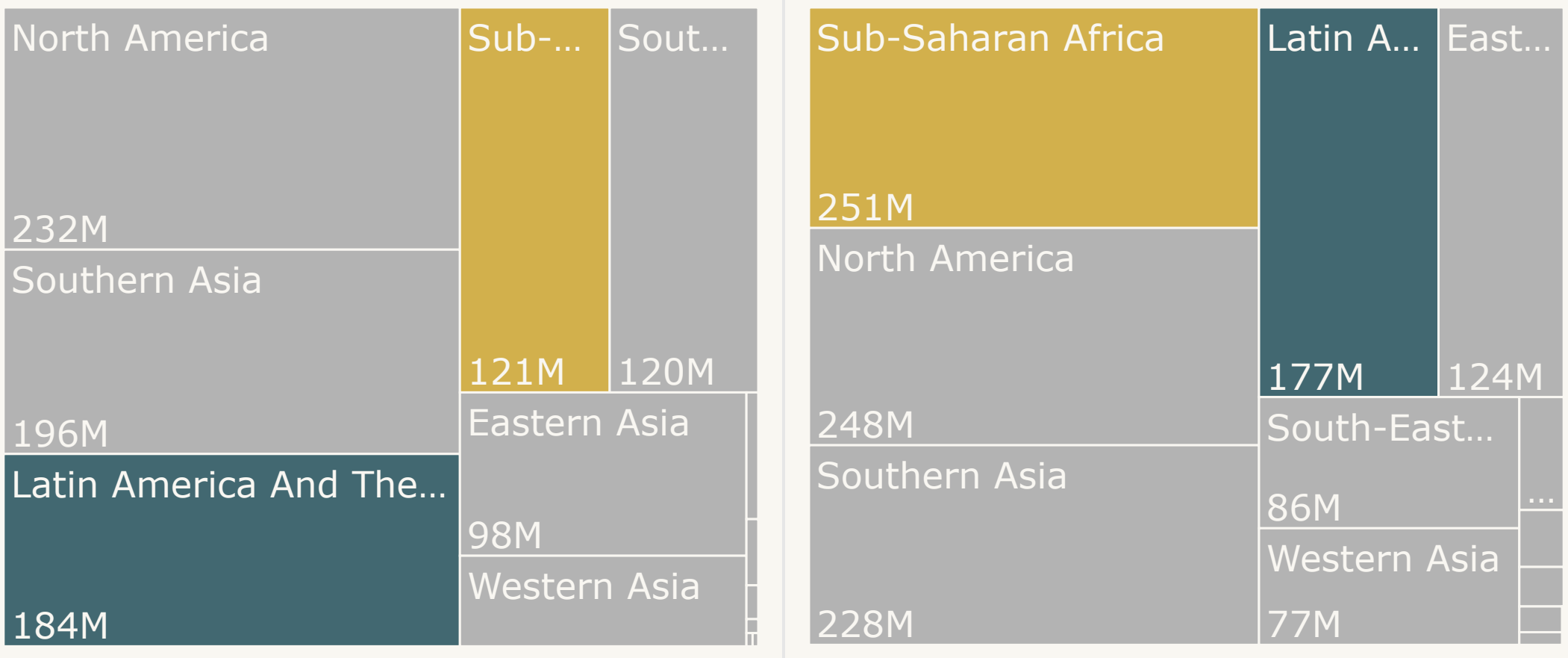
How and where are carbon credits generated?

Before 2021 ⟹ After 2021

Project category



Region



- Losing momentum: **Forestry, Latin America.**
- Growing segment: **Household, Sub-Saharan Africa.**

What is the key challenge?

The media and academic scrutiny on **project quality**

What types of projects are under scrutiny?

REDD+ (Reducing Emissions from Deforestation and Forest Degradation).

What are they accused of?

- Over-crediting: Issuing more credits than reduced.
- Providing no co-benefits for local communities.

From my interviewees:

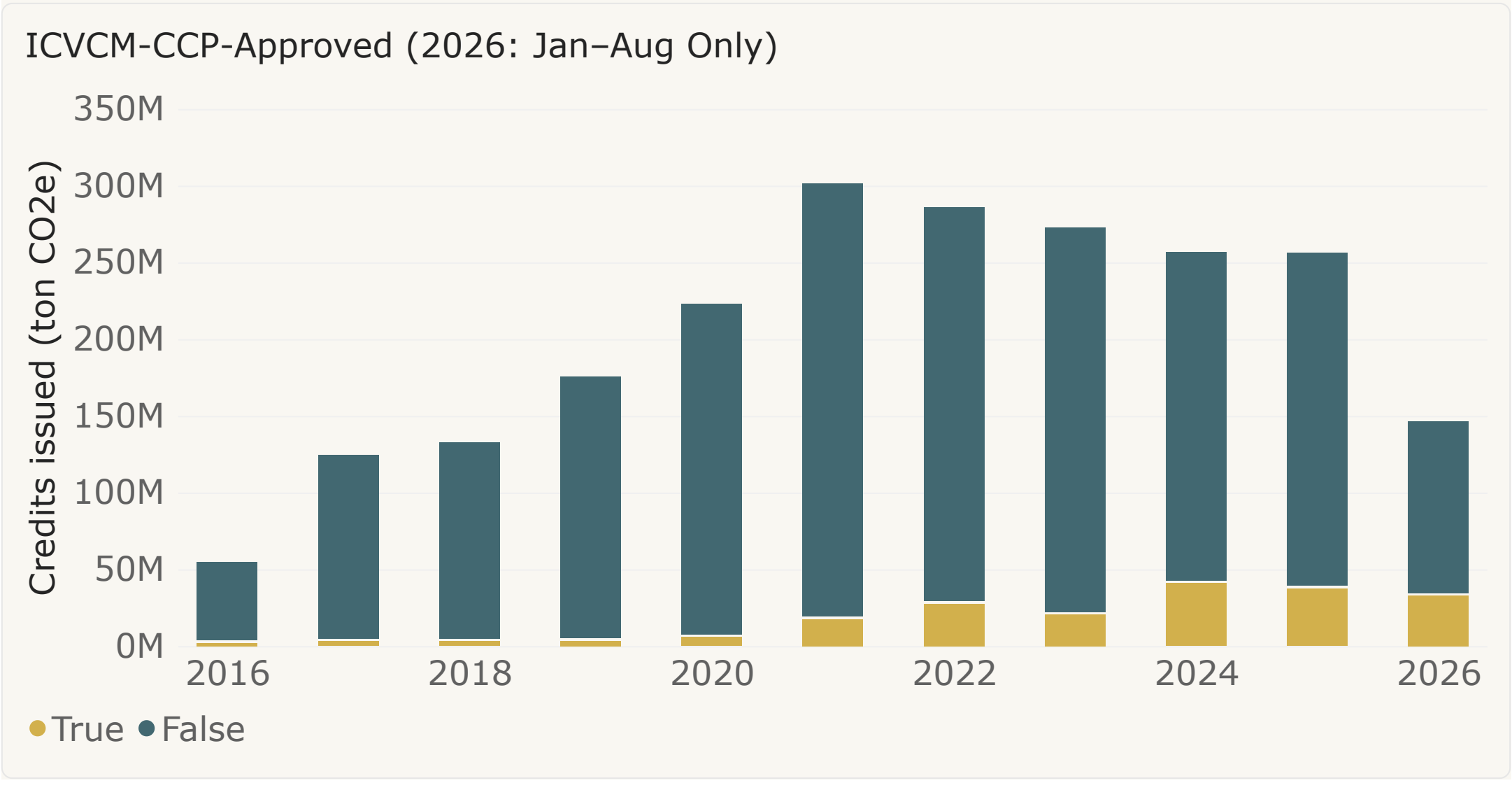
> *"All of a sudden everyone just wants reforestation projects, and no one's talking about REDD+ anymore…"*

> The Guardian articles "*brought the market down to earth.*"

Solution: transition from quantity to quality, supported by the usage of additional certification labels.

e.g. **ICVCM CCP**

A multi-stakeholder initiative



What are the future developments?

In April 2026, reports emerged that Microsoft would pause its purchases of carbon removal credits.

Why is Microsoft important?

Microsoft has been one of the biggest buyers.

From my interviewees:

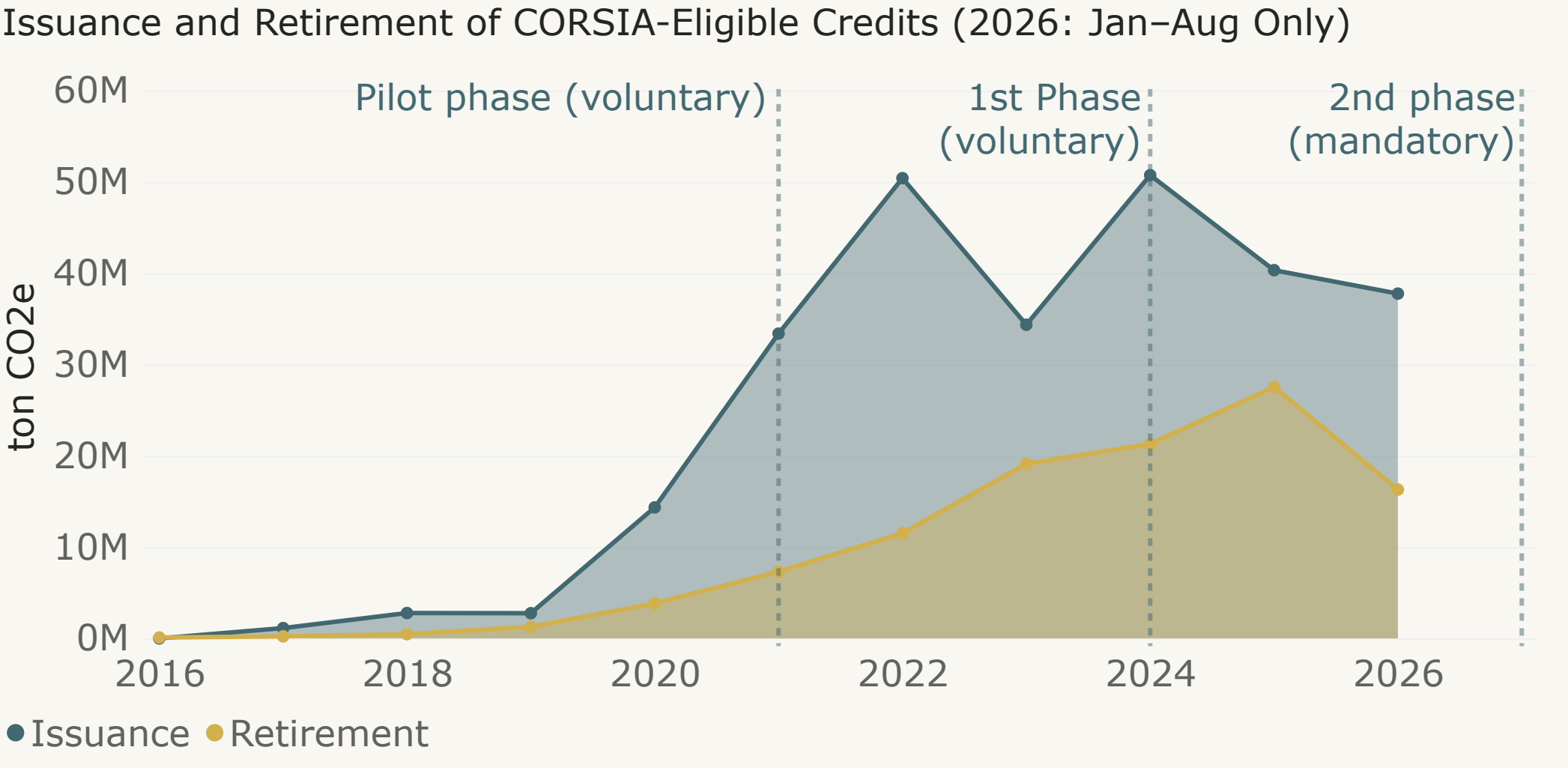
> *"It is absolutely needed to bring more buyers in this market...if Microsoft is responsible for 90% of removal credits, that is not a market; That is a contract."*

Where can the market find more buyers?

CORSIA might demonstrate how **compliance regulations can drive demand**.

What does CORSIA do?

Airlines are required to offset their emissions on regulated international routes.



> *"You're gonna see a flurry of transactions happening for CORSIA between now [Apr 2026] and next year"*